LLM-FIRST VS PHYSICS-FIRST

There are two ways to answer a question. *They are not the same.*

APPROACH 1 — LLM FIRST

Read, interpret, conclude.

- Search for information
- Read and interpret articles
- Build a representation of the situation
- Produce an answer

Starts with interpretation.

APPROACH 2 — PHYSICS FIRST

Measure, then conclude.

- Identify the forces acting on the question
- Measure each force independently
- Determine direction, velocity and breadth
- Reconcile competing forces
- Then produce an answer

Starts with measurement.

> *The difference is subtle. The consequences for risk tracking are not.*

There Are Two Ways To Answer A Question

> *"Should I buy BP?"*

APPROACH 1 — LLM FIRST

Read, interpret, conclude.

1. Read a collection of articles.
2. Interpret them.
3. Generate a narrative.
4. Reach a conclusion.

The model is deciding what matters.
The conclusion is built from **interpretation.**

APPROACH 2 — PHYSICS FIRST

Measure, then conclude.

1. Identify the forces acting on BP.
2. Measure each force.
3. Determine which forces are strengthening or weakening.
4. Determine which forces matter most.
5. Then generate a narrative.

The conclusion is derived from **measurement.**

One starts with **interpretation.**

The other starts with **measurement.**

The difference is subtle but important.

What Does An LLM Actually Do?

> *"Should I buy BP?"*

The model searches for information, reads a subset of articles, builds a representation of the situation, and produces an answer.

The answer may be excellent. However, the process is fundamentally *interpretive*. The model is deciding what matters.

WHAT YOU SEE

- ✓ Answer
- ✓ Reasoning

WHAT YOU DON'T SEE

- ~~What was ignored~~
- ~~What contradicted the answer~~
- ~~Which factors mattered most~~
- ~~How much each factor contributed~~

> *The answer is produced. But the* **forces behind it** *remain invisible.*

What Does Noah Do Differently?

> *"Should I buy BP?"*

Instead of immediately forming an opinion, the first question is: *what are the forces acting on BP?*

FORCE	DIRECTION
Dividends	**Positive**
Buybacks	**Positive**
Operational performance	**Positive**
Oil-price sensitivity	**Negative**
Regulatory pressure	**Negative**
Litigation	**Negative**

Only after measuring these forces does Noah attempt to form a view.
The narrative comes **last.** *Not first.*

Where Does Conviction Come From?

Most systems produce *confidence*. The approach described here attempts to measure *conviction*.

EXAMPLE A

Positive forces	8
Negative forces	1

High conviction.

EXAMPLE B

Positive forces	5
Negative forces	5

Low conviction.

In Example B, the answer is not "uncertain."
The answer is: **reality is contradictory.**
That distinction matters enormously.

Why This Matters For Risk Tracking

Most systems tell you what they think. This approach tries to tell you **what changed** — and why.

JANUARY	
Regulatory pressure	Low
Capital returns	Strong

MARCH	
Regulatory pressure	High ▲
Capital returns	Strong

> *The important question is* **what changed** — *not what the score is.*

THIS MAKES IT POSSIBLE TO EXPLAIN

- → Why a score moved
- → Which force moved it
- → Whether the change is accelerating
- → Whether contradictory evidence exists

Which is ultimately what clients, boards and communications teams need.